Humana. Claims Payment Policy

Subject: Physician Administered Drugs

Application: Kentucky Medicaid
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Related policies: N/A

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Overview

There are some codes on the Kentucky Department for Medicaid Services (DMS) *Physician Administered Drug (PAD)* List that do not have rates in the Kentucky Medicaid fee schedule. This policy outlines how Humana establishes rates for those codes.

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Kentucky Medicaid Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

The following policy applies to professional services only.

As outlined in Kentucky DMS guidance, for all drug and biological codes, Humana requires a provider to submit a charge with the valid, corresponding National Drug Code (NDC).

When a reimbursement rate for a code on the *PAD* List is not listed on the Kentucky Medicaid fee schedule, Humana allows the following reimbursement for that *PAD*:

- For a charge reported with *place of service (POS) code 11*: Medicare's average sales price (ASP) plus 6%
- For a charge reported with *POS code 12*: Manufacturer's average wholesale price (AWP) minus 15%
- For a charge reported with *POS code 22*: Manufacturer's AWP minus 15%

Note: In certain circumstances, additional payment rules may apply. For example, when applicable, claims are subject to the Humana Healthy Horizons in Kentucky out-of-network payment policy. For more information, see the relevant guidance in the References section of this policy.

Definitions of *Italicized* Terms

- ***Physician Administered Drug (PAD)***: Physician Administered Drugs are drugs other than vaccines that are covered under section 1927(k)(2) of the Social Security Act and are typically administered by a medical professional in a physician's office or other outpatient clinical setting.
- ***Place of service (POS) code 11***: Office – Location, other than a hospital, skilled nursing facility (SNF), military treatment facility, community health center, State or local public health clinic, or intermediate care facility (ICF), where the health professional routinely provides health examinations, diagnosis, and treatment of illness or injury on an ambulatory basis.
- ***Place of service (POS) code 12***: Home – Location, other than a hospital or other facility, where the patient receives care in a private residence.
- ***Place of service (POS) code 22***: On Campus-Outpatient Hospital – A portion of a hospital's main campus which provides diagnostic, therapeutic (both surgical and nonsurgical), and rehabilitation services to sick or injured persons who do not require hospitalization or institutionalization. (Description change effective January 1, 2016)

References

- Social Security Administration website. Social Security Act. Title 19, Section 1927. https://www.ssa.gov.
- Centers for Medicare & Medicaid Services website. Place of Service Code Set. https://www.cms.gov.
- Kentucky Legislative Research Commission website. Kentucky Administrative Regulations. Title 907, Section 23:020 – Reimbursement for outpatient drugs. https://apps.legislature.ky.gov.
- Kentucky Cabinet for Health and Family Services website. Department for Medicaid Services. https://chfs.ky.gov.
- Kentucky Cabinet for Health and Family Services website. Fee Schedules. https://chfs.ky.gov.
- Magellan Health website. Physician Administered Drug List (PAD) Frequently Asked Questions (FAQs). https://kyportal.magellanmedicaid.com.
- Humana website. Humana Healthy Horizons in Kentucky. https://www.humana.com.
- Humana website. Humana Healthy Horizons in Kentucky Communications and Network Notices. Out-of-network claims payment policy update. https://www.humana.com.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Education and news – This page can help you find clinical guidelines, educational tools, Medicare and Medicaid resources, our provider magazine and other resources to help you do business with us.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.

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